IN THE NATIONAL COMPANY LAW TRIBUNAL
ALLAHABAD BENCH, ALLAHABAD
CA (CAA) No. 01/ALD/ 2021
(Under Section 230&232 of the Companies Act, 2013)

IN THE MATTER OF:

GOYAL EDIBLES PRIVATE LIMITED, a company incorporated under the provisions of the Companies Act, 1956 (CIN: U15311UP1999PTC024330) and having its Registered Office at Ismailpur Gorakhpur, Uttar Pradesh- 273005

..... Transferee Company

(Applicant No. 1)

AMM TEXTILES LIMITED, a company incorporated under the provisions of the Companies Act, 2013 (CIN: U51909WB2014PLC201283) and having its Registered Office at 27, Weston Street, 5th Floor, Room No. 526, Kolkata – 700012

..... Transferor Company No. 1

(Applicant No.2)

AND

BITTERLING MERCANTILE PRIVATE LIMITED, a company incorporated under the provisions of the Companies Act, 1956 (CIN: U51101WB2010PTC144417) and having its Registered Office at 24 Netaji Subhash Road, 4th floor, Kolkata-700001

.....Transferor Company No. 2

(Applicant No. 3)

AND

FILBERT DEALERS PRIVATE LIMITED, a company incorporated under the provisions of the Companies Act, 1956 (CIN: U51909WB2010PTC144385) and having its Registered Office at 24 Netaji Subhash Road, 4th floor, Kolkata-700001

.....Transferor Company No. 3

(Applicant No. 4)

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AND

JAGRITI COMMODITIES PRIVATE LIMITED, a company incorporated under the provisions of the Companies Act, 1956 (CIN: U51109UP2005PTC077281) and having its Registered 33 Kasya Road, Chaturvedi Complex, Opp. D.I.G Bungalow, Gorakhpur, Uttar Pradesh-273001

.....Transferor Company No. 4

(Applicant No. 5)

AND

KCL CHEMICALS LIMITED, a company incorporated under the provisions of the Companies Act, 1956 (CIN: U51909WB2014PLC201278) and having its Registered Office at 27 Weston Street 5th Floor R/No.526, Kolkata-700012

.....Transferor Company No. 5

(Applicant No. 6)

ORDER DELIVERED ON: 03.03.2021

CORAM:
Hon'ble Mr. Justice (Retd.) Rajesh Dayal Khare, Member, Judicial

For the Applicant Companies: Aisha Amin, Advocate
Madan Kumar Maroti, FCA
N. Gurumurthy, FCA

Per se: Mr. Justice (Retd.) Rajesh Dayal Khare, Member (Judicial)

ORDER

1. This 1st motion Application under Sections 230& 232 of the companies Act, 2013 (herein after referred to as the "Act") read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (herein after referred to as "the Rules") is filed by the transferor and the Transferee Companies seeking directions of this Tribunal to dispense with the requirement of convening meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Transferee Company and to dispense with the requirement of convening meetings of Equity Shareholders the Transferor Companies.

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2. In the Application, it is stated that the Transferee Company i.e. Goyal Edible Private Limited is a private company registered under the provisions of the Companies Act, 1956 having CIN: U15311UP1999PTC024330. Main Objects of the Company are set out in its Memorandum and Article of Association annexed with the Application and marked as ***Annexure-A.***

3. In the Application, it is stated that the another Transferor Company No. 4 (Applicant No. 5) i.e. Jagriti Commodities Private Limited is a private company registered under the provisions of the Companies Act, 1956 having CIN No. U51109UP2005PTC077281. Main Objects of the Company are set out in its Memorandum and Article of Association annexed with the Application and marked as ***Annexure-I.***

4. The Board of Directors of both the Transferee and the transferor Companies in the meetings held on 18.02.2020, considered and unanimously approved the proposed Scheme of Amalgamation.

5. The Applicant Companies have filed the Audited Financial Statements for the financial year ended 31st March, 2020.

6. The Board of Directors and management of the Transferor Companies and the Transferee Company have proposed the Scheme of Amalgamation to merge the transferor companies and Transferee company for the following reasons:

   a) The Transferee Company is engaged in manufacturing and trading of food grains interalia it has also deployed its surplus fund by way of advance. The Transferor Company No.1, 4 and 5 are engaged in trading of food grains and have also deployed their surplus fund which is not immediately required in other investable instruments. Apart from pursuing its main objects, the Transferor Company No. 2 and 4 have deployed their surplus funds which is not immediately required in other investable instruments. The business of the Transferor Companies and the Transferee Company can be combined/adjusted and carried forward conveniently with combined strength;

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b) The amalgamation will enable the Transferee Company to consolidate its line of business by restructuring and re-organizing its business activities and Capital Structure;

c) The amalgamation will enable the amalgamated company to broad base their business activities under the roof of the Transferee Company;

d) The amalgamation will result in economy of scale including reduction in overhead expenses relating to management and administration in better and more productive utilization of various resources;

e) The business of the Company can be conveniently and advantageously combined together and in general business of the Company concerned and will be carried on more economically and profitably under the said Scheme;

f) The said Scheme of Amalgamation will enable the establishment of a larger company with larger resources and a larger capital base enabling further development of the business of the company concerned. The said scheme will also enable the undertakings and business of the said applicant company to obtain greater facilities possessed and enjoyed by one large company compared with a number of small Company for raising capital, securing and conducting trade on favourable terms and other benefits;

g) The said scheme will contribute in furthering and fulfilling the objects of the Company concerned and in the growth and development of these businesses;

h) The said scheme will strengthen and consolidate the position of the amalgamated company and will enable the amalgamated company to increase its profitability;

i) The said scheme will enable the undertakings concerned to pool their resources and to expand their activities;

j) The said scheme will enable the Companies concerned to rationalize and streamline their management, business and finances and to eliminate duplication of work to their common advantages;

k) The said scheme will have beneficial results for the Companies concerned, their shareholders, employees and all concerned.

It is stated that the Terms and conditions of Amalgamation are set out in the Scheme of Amalgamation; a copy of which is annexed to the application and marked **Letter-"M"** at page No 538 to 581 of the Application

7. It is stated in the application that the assets of the applicant companies are sufficient to meet all their liabilities and the said scheme will not adversely affect the rights of any of the creditors of any of the applicant companies in any manner whatsoever.

8. It is stated in the application that there will not be any reduction of capital of the Applicant Companies upon coming into effect of the Scheme, except cancellation of shares due to inter/cross holding of shares resulting from this Scheme of Amalgamation.

9. It is stated in the application that the present Scheme of Amalgamation does not contain or provide for Corporate Debt Restructuring of the Applicant Companies.

10. It is stated in the application that the present Scheme of Amalgamation does not contain or provide for any compromise with the Creditors of the Applicant Companies.

11. The Transferee Company and Transferor Companies have never issued nor agreed to issue any debenture.

12. It is stated in the application that the Transferee Company and Transferor Companies have made due provisions for payment of all liabilities as and when the same fell due. In this connection, all the Applicant Companies crave leave to refer to the accounts book and records of the Applicant Companies at the time of hearing, if necessary.

13. It is stated that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013, or under the provisions of the Companies Act, 1956 is pending against the Applicant Companies.

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14. The appointed date of proposed scheme of amalgamation is 01.04.2019.

15. It is stated that all the Equity Shareholders of the Transferor Company No. 1 cumulating to 8 (Eight) in numbers, Transferor Company No. 2 cumulating to total 4 (Four) in numbers, Transferor Company No. 3 cumulating to total 6 (Six) in numbers, Transferor Company No. 4 cumulating to total 8 (Eight) in numbers and of Transferee Company cumulating to total 2 (Two) in numbers have given their written consent by way of Affidavit for the proposed merger, thus the holding of meeting of Equity Shareholders of the Transferee and transferor companies be dispensed with.

16. The Transferee and Transferor companies have no secured or unsecured creditors thus the holding of meeting of secured and unsecured creditors of the Transferee and transferor companies be dispensed with.

17. It is stated in the application that the Report determining the number of and exchange ratio of shares which, shall be issued and allotted to the equity shareholders of Transferor Companies by the Transferee Company for implementation of the terms of the scheme has been prepared by an independent firm of Chartered Accountants and such recommendations has been accepted by the Board of Directors of the respective Companies. Copy of such report is annexed hereto and marked with the **Letter-"O"** at page No 588 to 609 of the Application.

18. It is revealed from the application that the share capital structure of the TRANSFEE COMPANY as on 31st March, 2019 is as under:

SHARE CAPITAL	**AMOUNT (RS)**
AUTHORISED SHARE CAPITAL	
66,67,000 Equity Shares of Rs.10/- each	6,66,70,000/-
TOTAL:	**6,66,70,000/-**
ISSUED,SUBSCRIBED AND PAID-UPSHARE CAPITAL	
50,68,700 Equity Shares of Rs.10/- each fully paid-up	5,06,87,000/-
TOTAL:	**5,06,87,000/-**

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19. It is revealed from the application that the share capital structure of the TRANSFEROR COMPANY NO 4 as on 31st March, 2019 is as under:

SHARE CAPITAL	AMOUNT (RS)
AUTHORISED SHARE CAPITAL	
4,20,000 Equity Shares of Rs.10/- each	42,00,000/-
TOTAL:	**42,00,000/-**
ISSUED, SUBSCRIBED AND PAID-UP SHARE CAPITAL	
4,12,400 Equity Shares of Rs.10/- each fully paid-up	41,24,000/-
TOTAL:	**41,24,000/-**

20. It is stated in the application that the total number of Equity Shareholders in the Transferee Company are 22 as on 31st March, 2020. All the shareholders of the Transferee Company have given their written consent by way of affidavit to the proposed Scheme of Amalgamation. The list of shareholders duly certified by the statutory auditors and affidavit of consent by all equity shareholders of the Transferee Company is annexed hereto and marked with the **Letter -"P"** at page No 606 of the Application.

21. It is stated in the application that the total number of Equity Shareholders in the Transferor Company No 4 are 3 as on 31st March, 2020. All the shareholders of the Transferor Company No 4 have given their written consent by way of affidavit to the proposed Scheme of Amalgamation. The list of shareholders duly certified by the statutory auditors and affidavit of consent by all equity shareholders of the Transferor Company No 4 is annexed hereto and marked with the **Letter -"P4"** at page No 701 to 728 of the Application.

22. It is stated in the application that Transferee Company have 1 Secured Creditors as on 31st March, 2020. The list of Secured Creditors duly certified by the statutory auditors and affidavit of consent by the Secured Creditors of the TRANSFREE COMPANY is annexed hereto and marked with the **Letter -"Q"** at page No 790 of the Application.

23. It is stated in the application that Transferee Company have 18 Unsecured Creditors as on 31st March, 2020. The list of Unsecured Creditors duly certified

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by the statutory auditors and affidavit of consent by the Unsecured Creditors of the Transferee Company is annexed hereto and marked with the **Letter -"Q"** at page No 790 to 825 of the Application.

24. It is further stated in the application that Transferor Company No 4 have Nil Secured Creditor as on 31st March, 2020 duly certified by the statutory auditor of the Transferor Company No 4 is annexed hereto and marked with the **Letter - "Q4"** of the Application.

25. It is further stated in the application that Transferor Company No 4 have Nil Unsecured Creditor as on 31st March, 2020 duly certified by the statutory auditor of the Transferor Company No 4 is annexed hereto and marked with the **Letter - "Q4"** at page no 844 of the Application.

26. It is stated in the application that the statutory Auditors of the Transferee Company and Transferor Companies have certified that the Accounting treatment proposed in terms Clause 14 of PART V of the Scheme is in conformity with the Accounting Standards prescribed under Section 133 of the Companies Act 2013. Copy of the statutory Auditors certificate is enclosed marked **Letter- "R"** at Page No 851 to 862 of the Application.

27. Learned Counsel appearing for the Applicants, made the following contentions with respect to the dispensation of the requirement of convening meetings:

A. All the Equity Shareholders of the Transferor Companies and the Transferee company have given their written consents by way of affidavits. Therefore, the requirement of convening meeting of the Shareholders of the Transferor Companies and the Transferee Company may be dispensed with.

B. All the Secured Creditors of the Transferee Company have given their written consents by way of affidavits. Further, in case of the Transferor Companies, there is no Secured Creditor, therefore, the requirement of convening meeting of the Secured Creditors of the Transferor Companies and the Transferee Company may be dispensed with.

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C. More than 90% (in value) of the Unsecured Creditors of the Transferee Company have given their written consents by way of affidavits. Further, in case of the Transferor Companies, there is no Secured Creditor, therefore, the requirement of convening meeting of the Secured Creditors of the Transferor Companies and the Transferee Company may be dispensed with.

28. Having heard the learned counsel for the Applicants and by pursuing the material available on record it is felt appropriate to direct that, in view of the consent affidavits given by the Equity Shareholders of the Transferor Companies and the Transferee Company, the requirement of convening meetings of the Equity Shareholders of the Transferor Companies and the Transferee Company and the requirement of convening the meeting of secured and unsecured creditors of the Transferee company for the purpose of considering and if thought fit approving the proposed Scheme of Amalgamation, is dispensed with.

29. Let notices be served by the Applicant Companies, as per the requirement of sub-Section (5) of Section 230 of the Companies Act, 2013 and Rule 6 of Companies (CAA Rules 2016), along with copy of the application and other documents including copy of the scheme of Amalgamation to the Central Government through the office of Regional Director, Northern Region Ministry of Corporate Affairs, ROC Kanpur, Official Liquidator, Allahabad, and Income Tax Department stating PAN No. of the Applicant Company and having jurisdiction over the Transferor Companies and such other relevant sectoral regulators/authorities, if applicable, which are likely to be affected by the proposed Scheme, by sending the same by hand delivery or by registered post/speed post within 7 days from date of this order for filing their representations, if any, on the petition within 30 days from the date of receipt notice.

30. The Applicant's company shall file affidavit within seven days regarding service of notice.

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31. The Applicant's company is further directed to send notice through e-mail and also file affidavit. The notice shall specify that representation if any should be filed before this Tribunal within 30 days of date of receipt of such notices.

32. Such notices shall be sent under Section 230 (5) of the Companies Act, 02013 in specified form (CAA.3) of the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016.

33. If no such representation is received by the Tribunal within the said period, it shall be presumed that such authorities is having no representation/objection on the proposed Scheme of Amalgamation

34. With the above directions CA No.01/ALD of 2021 is disposed off accordingly.

—Sd/—

JUSTICE RAJESH DAYAL KHARE
MEMBER (JUDICIAL)

Date: 03.03.2021

Shefali Vats
(LRA)